

Emcure Pharmaceuticals Ltd

Concall-Tracker report · Screener ticker EMCURE (NSE: EMCURE, BSE: 544210) · listed July 2024 · 9 earnings-call transcripts read (Q1 FY25 → Q1 FY27) · all figures CONSOLIDATED · prepared 31 Aug 2026

1. Snapshot

What the business does (one line): Emcure is a Pune-based **pharmaceutical company** making and selling prescription medicines — both conventional chemistry drugs and biologics — in India and abroad. Roughly 40% of sales are Indian branded medicines sold largely through specialist doctors, and 60% are international, chiefly Europe, Canada and emerging markets. Its biotech arm Gennova develops biologics and vaccines. In plain terms: a diversified drug maker with a real overseas business, not just an Indian one.

Figure	Value	Plain-English read
Market capitalisation	₹35,157 cr (price ₹1,855)	What the whole company is worth. The share has ranged ₹1,260–2,048 over the past year and sits near the top.
Price-to-earnings	34.1x; dividend yield 0.19%	About 34 times last year's profit — a growth rating, typical for a pharma company compounding at this rate.
Q1 FY27 revenue (Jun'26 qtr)	₹2,580 cr, up 22.8% YoY	The largest quarter in the company's history, against ₹2,101 cr a year earlier.
Q1 FY27 operating profit	₹508 cr, margin 19.7%	Up 25.8% year-on-year with margin expanding 50 basis points — management attributed it to "productivity gains and operating leverage".
Q1 FY27 net profit	₹292 cr, up 36.2% YoY	Profit grew far faster than revenue. Earnings per share ₹15.50 for the quarter.
India business (Q1 FY27)	₹1,095 cr, up 10.2% YoY	Back to double-digit growth after a soft patch, and up 12% on the March quarter. This had been the weak spot.
International (Q1 FY27)	₹1,485 cr, up 34.2% YoY	Europe ₹537 cr (+32.8%), Canada ₹427 cr (+24.6%), Rest of World ₹522 cr (+44.8%, led by anti-retrovirals). Management disclosed that 7–8% of international growth was currency , not volume.
FY26 (full year)	₹9,204 cr revenue, ~₹941 cr profit	Revenue up 16.6% and profit up about a third on FY25's ₹7,896 cr and ₹708 cr.
Four-year revenue path	₹5,855 → 5,986 → 6,658 → 7,896 → 9,204 cr	FY22 to FY26 — steady, accelerating growth with no down year.
Return on capital	ROCE 24.0%; ROE 20.1%	For every ₹100 of capital the business earns about ₹24 a year before tax — strong for a pharma company carrying acquisition goodwill.
Deleveraging	Quarterly interest ₹65 cr → ₹32 cr	Interest cost has halved since the March 2024 quarter — the IPO proceeds and cash generation have visibly reduced debt.

2. Concall coverage

All nine earnings-call transcripts since the company's July 2024 listing were read, oldest to newest — its complete public history. Management is deep on these calls: Satish Mehta (MD & CEO), Samit Mehta (Whole-Time Director &

COO), Tajuddin Shaikh (CFO), Vikas Thapar and Piyush Nahar (Corporate Development & Strategy) and the investor-relations head.

Quarter	Call date	Revenue / operating margin	Read?
Q1 FY25 (Jun 2024) — maiden	14 Aug 2024	₹1,815 cr · 19%	Yes
Q2 FY25 (Sep 2024)	Nov 2024	₹2,002 cr · 19%	Yes
Q3 FY25 (Dec 2024)	Feb 2025	₹1,963 cr · 18%	Yes
Q4 & FY25 (Mar 2025)	22 May 2025	FY25 ₹7,896 cr · 19%	Yes
Q1 FY26 (Jun 2025)	Aug 2025	₹2,101 cr · 20%	Yes
Q2 FY26 (Sep 2025)	Nov 2025	₹2,270 cr · 21%	Yes
Q3 FY26 (Dec 2025)	Feb 2026	₹2,363 cr · 21%	Yes
Q4 & FY26 (Mar 2026)	05 May 2026	FY26 ₹9,204 cr · 19%	Yes
Q1 FY27 (Jun 2026)	06 Aug 2026	₹2,580 cr · 19.7%	Yes — latest

Span: nine quarters — the company's entire listed life. Transcripts are filed with both exchanges and posted on the company website within about a week of each call.

2b. Latest concall highlights — Q1 FY27 (call held 06 Aug 2026) ★

- **Broad-based record quarter:** revenue **₹2,580 cr (+22.8%)**, EBITDA **₹508 cr (+25.8%)** at a 19.7% margin, and profit **₹292 cr (+36.2%)** — each line growing faster than the one above it, which is operating leverage working.
- **India has recovered:** the domestic business grew **10.2% to ₹1,095 cr**, back to double digits after a soft FY26 caused by the restructuring of the Zuventus sales team and portfolio, and up 12% on the March quarter. Management called it "in line with our plan".
- **International did the heavy lifting — with an honest caveat:** ₹1,485 cr, up **34.2%**, with Europe +32.8% to ₹537 cr, Canada +24.6% to ₹427 cr and Rest of World +44.8% to ₹522 cr on strong anti-retroviral sales. Management stated plainly that **7–8% of international growth came from currency** rather than underlying volume, and had quantified this by region on the prior call too.
- **Full ownership of the group consolidated:** Emcure acquired the remaining **12.05% minority stake in Gennova**, its biotech arm, making it a 100% subsidiary. With Zuventus and the other subsidiaries also fully owned, the group structure is now clean — minority leakage from reported profit ends.
- **Pipeline and framing:** more than **15 product approvals** were received across developed and emerging markets in the quarter, which management described as providing "visibility for continued business growth". They positioned the quarter as "the beginning of the second year of our 5-year plan" — a framework they have referred to consistently rather than inventing a new one each quarter.

2c. Business mix & capacity (quick facts)

Domestic vs export: roughly **42% India / 58% international** in Q1 FY27 (₹1,095 cr against ₹1,485 cr). Within international, the split is Europe ~36%, Rest of World ~35% and Canada ~29%. Plain read: this is genuinely diversified — no single geography is more than about a quarter of group revenue, which is unusual for an Indian mid-cap pharma company and materially reduces single-market regulatory risk. The flip side, disclosed by management, is meaningful currency exposure: 7–8% of international growth this quarter was translation, and in Europe it had been 11–12% in the prior quarter.

Product and channel mix: in India, **70% of prescriptions come from specialists** rather than general physicians — a higher-value, stickier channel. The group spans conventional chemistry and biologics (seven biologics launched), with Gennova as the biotech arm. Growth verticals include anti-retrovirals (driving Rest of World), and Amphotericin B was flagged as a near-term Europe driver. Canada was entered through the acquisition of Marcan Pharma.

Capacity utilisation: not disclosed as a percentage, and none is invented here. For a pharma company the operative constraint is regulatory approvals rather than plant, and on that measure the pipeline is productive: **15-plus approvals in a single quarter** across developed and emerging markets. Management explicitly frames international growth as a function of "the quality of filing, type of products that we file and the number of approvals we get".

3. Earning Trigger thesis ★

The driver is a **two-engine growth model with expanding margins**, and both engines are currently firing. The larger one is **international** — up 34.2% with all three regions contributing, built on a steady flow of regulatory approvals (15-plus in one quarter) and reinforced by acquisitions like Marcan in Canada. The second, and the one that had been the problem, is **India**, where a restructuring of the Zuventus sales team and portfolio suppressed FY26 growth to mid-single digits and has now recovered to 10.2%, with 70% of prescriptions coming from specialists. Underneath both sits genuine operating leverage: revenue grew 22.8%, EBITDA 25.8% and profit 36.2% in the same quarter, with margin up 50 basis points to 19.7% and quarterly interest cost halved from ₹65 cr to ₹32 cr since early FY25. Buying in the last 12.05% of Gennova removes minority leakage from reported earnings. Revenue has compounded from ₹5,855 cr in FY22 to ₹9,204 cr in FY26 without a down year. The qualifications are honest ones: 7–8% of the international growth was currency rather than volume, and at 34 times earnings the market has already priced in a good deal of the execution.

Trigger	What management said	Evidence so far	Horizon	Strength
International expansion	Guided mid-teens growth for international	Beaten. +34.2% in Q1 FY27, with Europe +32.8%, Canada +24.6%, RoW +44.8% — though 7–8% was currency	Multi-year	Strong
Regulatory approval flow	Growth driven by "quality of filing... and the number of approvals we get"	15-plus approvals in a single quarter across developed and emerging markets	Ongoing	Strong
India recovery post-restructuring	Domestic to grow 200 bps above industry, i.e. low double digits	Missed during FY26 restructuring (~5% in Q4), now recovered to 10.2% and +12% sequentially	Now	Strong
Margin expansion	Guided 150 basis points of expansion for FY26; earlier promised margins would improve "quarter-by-quarter"	Delivered — operating margin ~18.8% (FY25) to ~20.3% (FY26), and 19.7% in Q1 FY27 with a further 50 bps year-on-year gain	Ongoing	Strong
Deleveraging	—	Quarterly interest halved from ₹65 cr (Q4 FY24) to ₹32 cr (Q1 FY27), lifting profit growth above EBITDA growth	Done	Strong
Full subsidiary ownership	Acquired the remaining 12.05% of Gennova	Gennova, Zuventus and other subsidiaries now 100% owned — ends minority leakage from consolidated profit	Done	Moderate

Europe niche pipeline	Amphotericin B launch to drive Europe; mid-teens CAGR expected over the next two years	Europe already growing 32.8%, but management guided the sustainable rate <i>lower</i> at mid-teens — a deliberate expectation reset	FY27–FY28	Moderate
Currency dependence (caveat)	Disclosed unprompted: 7–8% of international growth was currency; 11–12% in Europe last quarter	Real. Roughly a quarter of the reported international growth is translation, and it can reverse	Always	Outside control

4. Management Consistency scorecard

Period	What was promised	What actually happened	Verdict
Q1 FY25 (maiden call)	Margins currently suppressed by investment; "you will see margins and return ratios improving quarter-by-quarter"	Delivered. Operating margin 19% → 21%; ROCE now 24.0% and ROE 20.1%	Delivered
Q4 FY25	FY26 revenue growth of 13–14%	Beaten — 16.6% (₹7,896 cr to ₹9,204 cr)	Delivered (over)
Q4 FY25	FY26 margin expansion of 150 basis points	Delivered — roughly 150 bps, from ~18.8% to ~20.3%	Delivered
Q4 FY25	Domestic to grow 200 bps above industry (low double digits); international mid-teens	Domestic missed during FY26 at ~5% in Q4, attributed to the Zuventus restructuring — management said base-business growth ex-Zuventus was 9–10%. International far exceeded, at 34.2%	Mixed, then recovered
Q4 FY26	—	Quantified the currency contribution to international growth by region (7–8% overall, 11–12% Europe) rather than presenting headline growth unqualified	Candid
Q4 FY26	Europe outlook	Despite Europe growing 20–22% in constant currency, management guided the sustainable rate down to mid-teens CAGR over two years — deflating rather than extrapolating a good number	Candid
Q1 FY27	—	India recovery delivered on the timetable implied at the prior call (+10.2%, +12% sequentially); called it "in line with our plan"	Delivered
Ongoing	Aspiration to be a top-10 player in India in revenue and profitability; a "5-year plan"	Referred to consistently across nine calls rather than replaced. Now "the second year" — still in progress	In progress
Ongoing	—	Listed only July 2024 — nine quarters of public record. A short, though dense, history	Short record

Narrative drift: None. Across nine calls the same framework has been used — a five-year plan, a top-10 India aspiration, growth from both India and international, margins improving as investment matures — and the specific numeric guidance attached to it has been met or beaten. FY26 was guided at 13–14% revenue growth with 150 basis points of margin expansion; it delivered 16.6% and roughly 150 basis points. The one clear miss, domestic growth

falling to about 5% in Q4 FY26 against a "200 basis points above industry" promise, was attributed to a specific, identifiable cause — the Zuventus sales-team and portfolio restructuring — and management quantified what the underlying rate would have been (9–10%) rather than leaving it vague. That recovery then arrived on schedule at 10.2% in Q1 FY27. What stands out most is the direction of the framing. When international grew 34.2%, management volunteered that 7–8% of it was currency. When Europe grew 20–22% in constant currency, they guided the sustainable rate *down* to mid-teens. Neither disclosure was forced. The only real limitation is time: the company has been listed for nine quarters and all of them have been good.

5. Bottom line — two verdicts

Durable earning trigger? → YES

Two engines are running at once, which is what makes this durable rather than dependent on a single bet. International, at 58% of revenue, grew 34.2% with Europe, Canada and the Rest of World all contributing, underpinned by a productive regulatory pipeline that produced more than 15 approvals in a single quarter. India, at 42% and previously the weak spot, has recovered to 10.2% growth after the Zuventus restructuring worked through, with 70% of prescriptions coming from specialists — a durable, high-value channel. Underneath both sits real operating leverage: in the same quarter revenue grew 22.8%, EBITDA 25.8% and profit 36.2%, helped by quarterly interest costs halving from ₹65 cr to ₹32 cr, and by buying in the last 12.05% of Gennova so that group profit no longer leaks to minorities. Revenue has compounded from ₹5,855 cr to ₹9,204 cr in four years without a down year, at a 24% return on capital. Two fair qualifications: management itself disclosed that 7–8% of the international growth was currency rather than volume, so the underlying rate is nearer the mid-twenties; and at 34 times earnings a good deal of continued execution is already in the price.

Management consistent? → YES

In its nine quarters as a listed company Emcure has given specific numeric guidance and delivered on it. For FY26 it guided 13–14% revenue growth and 150 basis points of margin expansion; it produced 16.6% and roughly 150 basis points. At the maiden call in August 2024 it said margins and return ratios would improve quarter by quarter while investment matured, and they have — operating margin from 19% to 21%, return on capital to 24%. The one genuine miss, domestic growth slipping to about 5% in Q4 FY26 against a promise of 200 basis points above industry, was handled well: management named the cause precisely (the Zuventus sales-team and portfolio restructuring), quantified what the underlying rate would otherwise have been at 9–10%, and then delivered the recovery to 10.2% on the following call. What tips this from good to clearly consistent is the direction of their framing. Reporting 34.2% international growth, they volunteered unprompted that 7–8% of it was currency. Reporting 20–22% constant-currency growth in Europe, they guided the sustainable rate *down* to mid-teens rather than extrapolating. A management that keeps deflating its own best numbers while still beating guidance is behaving the way this verdict is meant to reward. The only caution is that the record is nine quarters long and every one has been favourable.

Prepared from all nine Emcure Pharmaceuticals Ltd earnings-call transcripts, Q1 FY25 (14 Aug 2024) through Q1 FY27 (06 Aug 2026), sourced from Screener.in — the company's complete public record since its July 2024 listing. All figures are **consolidated**, from Screener.in consolidated statements and management disclosures on the calls; FY25 and FY26 profit figures are the sum of the four reported quarters.

This is not investment advice. Do your own due diligence.